MONTHLY FACTSHEET · HORUS ASSET MANAGEMENT

Horus Smart Beta 60/40

Data as of 31 August 2026 · USD

Objective

Beat a classic 60/40 portfolio with a similar level of risk, by tilting the equity half towards three research-based factors (small cap, growth, momentum) and selecting the best bond ETFs on their risk-adjusted return.

Approach

Strategic factors that never change, tactical fund selection every January. The 60/40 split is permanent: no market timing.

Monthly comment

> In August, the strategy returned +2.4% against +1.7% for the benchmark. Since January 2026, it is up +14.2% against +7.7%. Over twenty years, 100 invested in December 2006 has grown to 540 against 320 for the benchmark.

Key facts

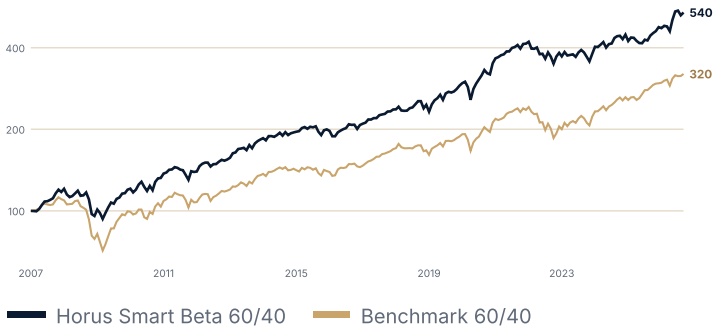
Strategy type	Smart beta, multi-asset 60/40
Benchmark	60% MSCI World · 40% Bloomberg Global Agg.
Universe	12 equity ETFs · 7 bond ETFs · gold
Holdings	4 ETFs (2 equity × 30%, 2 bond × 20%)
Rebalancing	Once a year, early January
Signals	Carhart 4-factor scores · 3-year Sharpe
Base currency	USD
Track record	Out-of-sample backtest since January 2007

Performance (%)

	1M	3M	YTD	1Y	3Y*	5Y*	10Y*	Since 2007*
Horus Smart Beta 60/40	**+2.4%**	**−0.8%**	**+14.2%**	**+21.7%**	**+12.0%**	**+5.7%**	**+10.0%**	**+8.9%**
Benchmark 60/40	+1.7%	+1.1%	+7.7%	+12.2%	+13.4%	+6.0%	+8.0%	+6.1%
Difference	+0.7%	−1.9%	+6.6%	+9.5%	−1.4%	−0.3%	+2.1%	+2.9%

* annualised

Growth of 100 since December 2006



Risk statistics (since January 2007)

	Horus	60/40
Volatility	**11.2%**	10.9%
Sharpe ratio	**0.69**	0.46
Maximum drawdown	**−22.6%**	−36.4%
Beta vs benchmark	**0.92**	1.00
Tracking error	**5.0%**	–
Information ratio	**0.54**	–

Calendar-year returns (%)

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	YTD
Horus	**+6.3%**	**+12.9%**	**−1.9%**	**+27.4%**	**+23.4%**	**+15.1%**	**−11.7%**	**+8.6%**	**+5.0%**	**+11.5%**	**+14.2%**
60/40	+5.5%	+16.2%	−5.5%	+19.1%	+13.9%	+10.6%	−17.2%	+16.3%	+10.2%	+15.9%	+7.7%

Portfolio for 2026

IWM · US small caps	Equity	**30%**
XLK · US technology	Equity	**30%**
LQD · US IG corporates	Bonds	**20%**
RXRGEX · German government bonds	Bonds	**20%**

selected in January on the previous three years

Factor exposures (Carhart regression, since 2007)

	Loading	t-stat
Market (Mkt-RF)	**0.632**	34.6
Small cap (SMB)	**0.194**	6.0
Value (HML) · negative = growth	**−0.041**	−1.6
Momentum (MOM)	**0.055**	2.9
Alpha (annualised)	**+1.1%**	1.1

How the strategy works

I
Measure
Every January, one Carhart regression per equity ETF on the last 36 months: how much small cap, value and momentum it holds.

II
Score
z(SMB) + z(−HML) + z(MOM): one point per standard deviation above the average ETF.

III
Select
The Solver buys the 2 best-scored equity ETFs (30% each) and the 2 bond ETFs with the best 3-year Sharpe (20% each).

IV
Hold
The four funds are held for 12 months, then the process starts again.

Glossary

Sharpe ratio	Excess return over T-bills divided by volatility.
Maximum drawdown	Largest fall from a previous peak.
Tracking error	Volatility of the return difference with the benchmark.
Information ratio	Average excess return over the benchmark divided by the tracking error.
Factor loading	Sensitivity of the portfolio to a factor (no unit); $\|t\| \geq 2$ means significant at 5%.

Academic project. Horus Asset Management is a student project of the SKEMA Business School MSc in Financial Markets & Investments. It is not a registered investment firm, is not authorised by the AMF or any other regulator, and does not offer any product or service. All figures are hypothetical backtest results of a model portfolio, computed on monthly total-return data in USD with ETFs as proxies, before taxes and fees. Past performance does not guarantee future returns. This document is not investment advice.
Sources: Bloomberg total-return series; Ken French Data Library (CRSP 202608); Horus calculations.